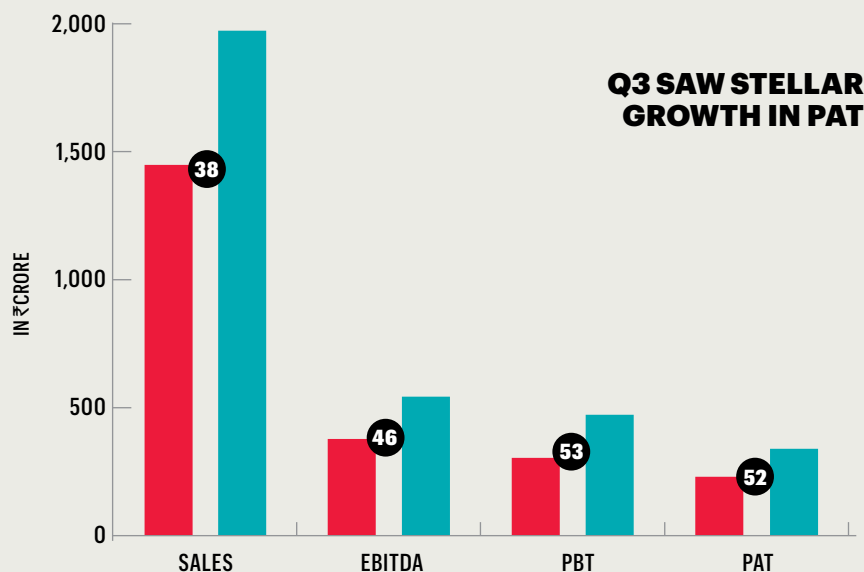




BOOM TIME

- 50%-plus profit growth puts the company on a strong wicket
- Profit growth has been outpacing the rise in Ebitda

• Q3FY24 • Q3FY25
FIGURES IN BUBBLES
REPRESENT CHANGE
IN PERCENTAGE
SOURCE ANNUAL REPORT



In January, the Cabinet Committee on Security cleared a ₹10,000 crore procurement deal for the Pinaka rocket launcher system, a sophisticated long-range artillery weapon, with Solar being one of the manufacturers

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equity and grow well on a very large base as two big differentiators. Often, entry barriers in a business like this are not easily grasped. “In defence, approvals can take 5-10 years; they have gained substantially by being there for a long time,” says Bolinjkar.

The share of defence has steadily gone up. Nuwal anticipates the number will hit 30-35% over the next four-five years. “The rest (about two-thirds) will be equally split between our international and domestic businesses,” he says. Quite clearly, he outlines defence as “a strategic investment.” As countries across the world start to spend more on defence, it augurs well for growth. “Just Europe will spend \$800 billion (on defence) and that is a potentially very large market for Solar. Armaments is a huge opportunity, and they are well-positioned to get the best out of this,” says Bolinjkar. He breaks down the growth opportunity into three buckets—India mining, Africa mining and global defence.

CUT TO THE MOMENT

In January, the Cabinet Committee on Security cleared

a ₹10,000 crore procurement deal for the Pinaka rocket launcher system, a sophisticated long-range artillery weapon, with Solar Industries being one of the manufacturers. This is part of the government’s initiative to promote self-reliance in defence manufacturing and reduce dependence on imports. According to ICICI Securities, Pinaka is only the beginning of bigger things for Solar. “The company has recently executed an MoU with the government of Maharashtra for setting up an Anchor Mega Defence and Aerospace project in Nagpur at an investment of ₹12,700 crore. We believe the revenue potential of such a project could be ₹25,000 crore, placing Solar Industries as one of the top players in India’s defence ecosystem,” it says.

Nuwal says the company is going through its most exciting phase. One is tempted to ask Nuwal whether Solar is a technology company. Nuwal gives himself a moment before saying, “I think we understand technology a lot better today and that puts us in a strong position.” **BT**

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